Home Loan Valuations

Bank

Abstract

Valuation is a critical step in mortgage lending. Accurate assessment of the collateral value determine the risk coverage. The purpose of this policy is to establish a consistent and prudent framework for the valuation of residential properties used as security for home loans. Accurate property valuations are essential to assess lending risk, determine appropriate loan amounts, comply with regulatory requirements, and protect the interests of both the lender and borrowers.

1 Background

All real estate offered as security to the bank is subject to an independent valuation. Set out below are the types and the related conditions under which the valuations should be obtained.

2 Policy

All residential properties offered as security for a home loan must be independently valued to ensure that the property's market value adequately supports the proposed lending exposure. Valuations must be conducted in a manner that is objective, independent, and compliant with applicable legal, regulatory, and industry standards.

2.1 Scope

This policy applies to:

- All residential home loan applications.
- New property purchases.
- Refinancing transactions.
- Construction and renovation loans.
- Loan variations and top-up applications.
- Portfolio reviews and monitoring activities.

The policy applies to all staff involved in credit assessment, loan origination, risk management, and loan approval.

3 Valuation Principles

The following principles shall apply:

3.1 Independence

Valuers must be independent of the borrower, broker, loan assessor, and approving authority. Borrowers must not influence the valuation outcome.

3.2 Objectivity

Valuation assessments must be based on market evidence, comparable sales, and professional judgment. Personal opinions or unsupported assumptions are prohibited.

3.3 Accuracy

Valuation reports must reflect the current market conditions at the date of valuation. Reports must contain sufficient detail to support the assessed value.

3.4 Prudence

Lending decisions should be based on the lower of:

- Purchase price; or
- Assessed market value.

4 Valuation

4.1 Approved Valuation Methods

4.1.1 Full Valuation

Full valuation is carried out by an approved valuer of the security property(ies) . Full internal and external inspection is mandatory. Hightended inspection carried out when

- LVR exceeds approved thresholds.
- Construction or development loans are involved.
- Unique or specialized properties are offered as security.
- High-value properties exceed delegated limits.
- Risk indicators are present.

4.1.2 Desktop Valuation

Desktop valuation may be used subject to credit team's approval when

- Low to medium risk lending.
- Established residential properties.
- Refinancing applications with acceptable LVR levels.

4.1.3 Automated Valuation Models (AVM)

AVMs may be used where:

- Property value is below the institution's threshold.
- Property type is standard residential.
- Loan-to-Value Ratio (LVR) is within approved limits.

4.1.4 Drive-thru Valuation

Drive-thru/Kerbsize valuation may be used where:

- Limited internal inspection is considered acceptable.
- Additional assurance is required beyond a desktop valuation.

4.2 Standardized Valuation Report

Valuation reports follow a standard format after a thorough inspection of the property's interior and exterior. The format includes:

- usage clause with the responsibility extension involving our authorized mortgage insurers
- main improvement dimensions
- recommended replacement cost for insurance
- site dimensions under the heading Land Description
- a valuation method using at least 3 comparable sales within 6 months of the valuation date, with at least 2 sales within 10% of the subject property's value, unless the valuer provides reasons otherwise. Comparable sales must include age, property description, sale price, date of sale, and whether they are comparable or superior/inferior in presentation.
- for a block of units/flats, capitalization methodology is also required.
- general comments from the valuer, particularly on factors adversely affecting the property's valuation.
- a property value description covering land and building, repairs, marketability, zoning, locality, and services.

4.3 Validity

For both new loans and variations to existing loans, a credit assessment can only rely on a full valuation of the security property(ies). Below is the validity period for the different type of valuation.

Valuation Type	Validity in Days
Full Valuation	90
Desktop Valuation	90
Automated Valuation Models	30

Table 1: Valuation Table

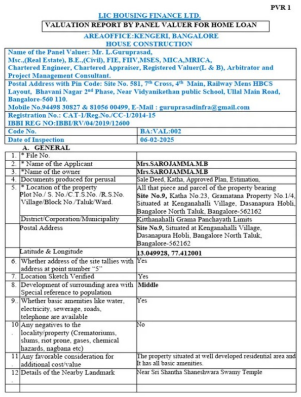
4.4 Re-valuation

A new valuation may be required if:

1. The validity period expires.
2. Market conditions deteriorate significantly.
3. Material changes occur to the security property.
4. Additional lending is requested.

4.5 Valuation Report

This standard format applies to both short and long form valuations. Short form valuations summarize the format, while long form valuations include more narrative and a photograph of the subject. Given an example of a valuation report, obtained online.



PVR 1

LIC HOUSING FINANCE LTD.

VALUATION REPORT BY PANEL VALUER FOR HOME LOAN

AREA OFFICE: KENGERI, BANGALORE

HOUSE CONSTRUCTION

Name of the Panel Valuer: Mr. L.Guruprasad, Mr.,(Real Estate), B.E.,(Civil), FIE, FIV,MSES, MICA,MRICA, Chartered Engineer, Chartered Appraiser, Registered Valuer(L & B), Arbitrator and Project Management Consultant.		
Postal Address with Pin Code: Site No. 581, 7th Cross, 4th Main, Railway Mens HBCS Layout, Bhavani Nagar 2nd Phase, Near Vidyanikethan public School, Ullal Main Road, Bangalore-560 110. Mobile No.94498 30827 & 81056 00409, E-Mail : guruprasadinfra@gmail.com		
Registration No.: CAT-1/Reg.No./CC-1/2014-15		
IBBI REG NO:IBBI/RV/04/2019/12600		
Code No.		BA/VAL/002
Date of Inspection		06-02-2025

	A. GENERAL	
1	* File No.	
2	* Name of the Applicant	Mrs.SAROJAMMA.M.B
3	*Name of the owner	Mrs.SAROJAMMA.M.B
4	Documents produced for perusal	Sale Deed, Katha, Approved Plan, Estimation.
5	* Location of the property Plot No / S. No./C.T.S.No. /R.S.No. Village/Block No./Taluk/Ward.	All that piece and parcel of the property bearing **Site No.9,** Katha No.23, Gramatana Property No.1/4, Situated at Kengunahalli Village, Dasanapura Hobli, Bangalore North Taluk, Bangalore-562162
	District/Corporation/Municipality	Kothanahalli Grama Panchayath Limits
	Postal Address	**Site No.9**, Situated at Kengunahalli Village, Dasanapura Hobli, Bangalore North Taluk, Bangalore-562162
	Latitude & Longitude	**13.049928, 77.412001**
6	Whether address of the site tallies with address at point number "5"	Yes
7	Location Sketch Verified	Yes
8	Development of surrounding area with Special reference to population	**Middle**
9	Whether basic amenities like water, electricity, sewerage, roads, telephone are available	Yes
10	Any negatives to the locality/property (Crematoriums, slums, riot prone, gases, chemical hazards, nagbana etc)	No
11	Any favorable consideration for additional cost/value	The property situated at well developed residential area and it has all basic amenities.
12	Details of the Nearby Landmark	Near Sri Shantha Shaneshwara Swamy Temple

Figure 1: Sample Report

4.6 Dependencies

Valuation has to be done by approved valuers, which is explained in the policy for Panel Valuers - Accreditation, Performance monitoring & Termination is

1. - Policy Valuers- Accreditation, Performance Monitoring & Termination
2. - Procedure for completion of validation form is explained in the operating procedure for Filling a Valuation Report

4.7 Meta Data for this policy